Microsoft Corp.

Azure and M365 Bogeys are Drifting Up

Equities

United States
Software

12-month rating **Buy**

12m price target	**US$675.00**
	Prior : US$525.00
Price (14 Oct 2026)	**US$537.26**

RIC: MSFT.O **BBG:** MSFT US

Trading data and key metrics

52-wk range	US$543.45-352.83
Market cap.	US$3,999b
Shares o/s	7,443m (COM)
Free float	90%
Avg. daily volume ('000)	27,056
Avg. daily value (m)	US$12,833.5
Common s/h equity (06/27E)	US$603b
P/BV (06/27E)	6.6x
Net debt to EBITDA (06/27E)	NM

EPS (UBS, diluted) (USD)

	06/27E			
	From	To	% ch	Cons.
Q1E	4.83	4.86	1	4.73
Q2E	4.84	4.90	1	4.86
Q3E	4.89	4.99	2	4.91
Q4E	5.11	5.18	1	5.20
06/27E	19.68	19.94	1	19.73
06/28E	23.17	23.63	2	23.49
06/29E	26.94	27.58	2	28.76

Summary

Ahead of Microsoft's 1Q/Sept print on Oct 28th, we share our thoughts on the set-up, including the latest investor bogeys as well as fundamental trends. Bottom line, post a material +39% rally in the stock post the 4Q/Jun print, Microsoft shares are now a consensus long, with investor bogeys on Azure and M365 segment growth now higher. That said, we conclude that the fundamentals support those higher expectations and at 23x CY27 non-GAAP EPS, the valuation multiple is not stretched. We are also introducing our new Microsoft model, revised for the re-classification announced by Microsoft last month. We remain Buy-rated.

Azure and M365 Growth Catalysts

The bad news is that investor expectations for both key segments – Azure and M365 – have moved higher, with the Azure bogey for 1Q/Sept now for a 2-point beat to 47% growth and investors also inching up their M365 growth estimates on the back of Microsoft's bigger push to usage-based pricing. But the good news is that in our view the strong fundamentals support these higher bogeys. Our latest enterprise demand checks sounded solid and with OpenAI revs upside likely translating to higher Azure growth, industry AI capacity adds being strong and Microsoft benefiting from hosted GPU inflation, we conclude that even 47% Azure growth and a guide bogey of perhaps 46-47% for 1Q/Sept is not unreasonable. We also share the optimistic views that a faster pivot to usage-based pricing in the Copilot suite as well as greater uptake of Microsoft's AI security suite could prove to be accretive to M365 growth.

Sentiment Snapshot

The tricky part of the Microsoft set-up is that post the 39% move in the stock since the 4Q/Jun print, Microsoft shares are now a consensus long, rooted in optimism about Azure and M365 segment upside, confidence in the CFO's margin/EPS control as well as a belief that the upcoming meetings with Microsoft leadership at the mid-Nov Ignite conference could further improve sentiment. But in our view, the 23x CY27 non-GAAP EPS multiple remains reasonable, the fundamentals appear to be relatively clean with a path to upside and Microsoft shares may warrant a premium for the fact that, amidst plenty of change in the AI market, the company is increasingly model-agnostic and chip-agnostic, with a very diversified portfolio. While crowded, we remain constructive.

Valuation:

At CY27E multiples of 25x GAAP EPS and 23x non-GAAP EPS, we still view the stock as being reasonably-priced, given signs of AI monetization and very good EBIT margin/EPS control. We're raising our PT to $675 from $525 based on an assumed CY28E non-GAAP PE multiple of 25x (prior 19x), a deserved premium to the peer group.

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Highlights (US$m)	06/24	06/25	06/26	06/27E	06/28E	06/29E	06/30E	06/31E
Revenues	245,122	281,724	331,838	395,918	472,504	555,614	642,935	734,530
EBIT (UBS)	109,433	128,528	155,236	184,921	218,291	253,812	289,102	325,758
Net earnings (UBS)	89,782	105,591	128,785	148,017	174,712	203,130	231,361	260,686
EPS (UBS, diluted) (US$)	12.02	14.14	17.28	19.94	23.63	27.58	31.54	35.68
DPS (net) (US$)	2.98	3.28	3.61	3.97	4.37	4.80	5.28	5.81
Net (debt) / cash	23,913	51,414	36,549	38,863	43,704	52,437	70,147	100,241
Profitability/valuation	**06/24**	**06/25**	**06/26**	**06/27E**	**06/28E**	**06/29E**	**06/30E**	**06/31E**
EBIT (UBS) margin %	44.6	45.6	46.8	46.7	46.2	45.7	45.0	44.3
ROIC (EBIT) %	60.4	50.7	48.0	41.2	35.2	31.1	27.9	25.5
EV/EBITDA (UBS core) x	20.8	18.9	16.7	16.5	13.3	11.0	9.4	8.1
P/E (UBS, diluted) x	31.5	30.0	26.6	27.3	23.0	19.7	17.2	15.2
Equity FCF (UBS) yield %	2.6	2.3	2.0	0.4	0.5	0.6	0.9	1.3
Dividend yield (net) %	0.8	0.8	0.8	0.7	0.8	0.9	1.0	1.1

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US$ 533.69 on 14-Oct-2026 17:38:17 EDT

This report has been prepared by UBS Securities LLC. **ANALYST CERTIFICATION AND REQUIRED DISCLOSURES, INCLUDING INFORMATION ON THE QUANTITATIVE RESEARCH REVIEW PUBLISHED BY UBS, BEGIN ON PAGE 19.**

Multiple Drivers of Azure Upside

Last quarter, Microsoft posted better-than-expected 4Q/Jun c/c Azure growth of 43% (42% under the new revised segmentation), landing two-points above the 41% bogey given, among other things a) strong capacity adds (another 1.0 GW) and success in standing up that new capacity at a faster-than-expected clip and b) the lift from the GitHub Copilot pricing change that went into effect Jun 1st. The company guided to a 2-point acceleration to 45% c/c Azure growth in 1Q/Sept, implying sequential dollar adds of $3.0 billion, historically strong but below the sequential dollar adds of $3.4 billion in 4Q/Jun (implying some upside). In our view, the investor bogey for c/c Azure growth in 1Q/Sept – while typically 1-point above the guide - has drifted up to a 2-point beat to 47%. This is due to several positive trends:

OpenAI-Driven Upside

For the first time, Microsoft disclosed in its 10-K in July 2026 that "revenues from commercial arrangements with OpenAI" amounted to $24 billion in FY26 (company-wide, not just Azure) or 7% of total revenues. Note that this figure a) ramped throughout FY26, such that the 4Q/Jun annualized figure could have been as high as $8+ billion and b) only captures the direct OpenAI commercial payments, with the exposure much higher if we include indirect procurement of OpenAI models/products through Microsoft from enterprise customers. If the all-in exposure to OpenAI was closer to $10-11 billion in 4Q/Jun and 90% of that was recognized in Azure, then OpenAI would have represented a full ~30% of total Azure revs in 4Q/Jun. Needless to say, even if the exposure was 20-30% of Azure, OpenAI's growth is a material input to Azure growth and to overall Microsoft share sentiment. In investor conversations, the debate is about:

- **OpenAI's Recent Growth Rate:** Over the last few days, OpenAI has clarified that "we ended September with ARR of ~$50 billion, up 77% in just three months", with the media reporting (see here) an ARR target of $70 billion by year-end (implying 40% growth over the next three months). Relative to concerns from 2-4 months ago that OpenAI's growth rate would be weighed-down by competition, enterprise token optimization efforts and the maturity of its large ChatGPT business, these are encouraging growth rates and investor confidence in Microsoft (OpenAI's largest compute partner) is higher as a result. A revenue growth ramp at OpenAI could translate to Azure upside via higher Azure OpenAI API revs, via Microsoft recognizing revs (we believe on a net basis) from enterprises procuring Codex and other OpenAI 1P products through Azure and from any pull-through to other Azure products. Azure (as well as Google Cloud and AWS) benefit materially from their role as front-end procurement vehicles for the frontier labs.
- **Boost from the OpenAI Revs Share:** Microsoft has never disclosed what the OpenAI-to-Microsoft revs share is (The Information has said 20% here and hence the Street is anchoring off that), how it is expected to decline over time, what portion of OpenAI revs it is calculated off (full or partial) and how Microsoft accounts for it. Nonetheless, the OpenAI-to-Microsoft revs share is a growth catalyst when OpenAI revs are ramping materially. To state the obvious, some percentage of a higher number is a higher number. What is difficult for us to square is that Microsoft for some time has downplayed the boost from the OpenAI revs share on Azure growth, saying that if it was a material accelerant it would have called that out. At $50 billion in ARR and a revs share of 20%, one would think that the OpenAI revs share would now be a material contributor to growth (worthy of calling out) given an Azure revs base of $118 billion. If Microsoft is not calling this out, we wonder if a) the revs share is materially less than the 20% figure reported by The Information (that 20% figure is stale), b) it is only based on a subset of OpenAI revs and/or c) the revs boost is deferred or comes with a lag as the percentage is based on (lower) reported revs and not (higher) ARR.

- **Impact of Hitting the Revs Share Cap:** In the April 2026 amendment to the Microsoft-OpenAI agreement, it was announced that revs share payments from OpenAI to Microsoft would continue through 2030 but "subject to a total cap". Microsoft has not said what that cap is (The Information has said $38 billion, to be hit in 2028, and the Street seems to be anchoring off that) or given any sense for when it will be hit. With OpenAI now expected to exit 2026 at $70+ billion in ARR with such strong growth (see media report here), investors are expressing concern that the cap could be hit sooner-than-expected, creating a subsequent "cliff" in Azure growth. Microsoft has messaged to us that it is very keen to reduce volatility in reported Azure growth and that the revs share/cap was structured to be "as smooth as possible" to Azure growth with no material cliff. That is reassuring.

GPU Inflation Boosts Azure's Revs/GW

It is now well-understood by investors that the GPU compute demand-supply imbalance has resulted in a moment of marked hosted GPU price inflation that is lifting the revenue-per-GW math for the hyperscalers as well as the neo-clouds. We examined this trend in detail in our recent coverage launch report on CoreWeave (see here) and the next precise data point on this trend could come from Oracle at its October 28th Investor Day, when we expect Oracle to at least signal that its previous guidance of $10 billion per GW will move higher over time. The boost to Azure growth is positive to be sure but likely will layer-in over time.

- **As Contracts Roll-Off:** Microsoft has told us that it is not solving for some revs/GW figure (whether $10 billion or $30 billion) but rather to deliver capacity to customers at the lowest cost. That said, Microsoft can and will re-price capacity at contract maturity. Modeling this is challenging but we would note that a) Microsoft has said that the average duration of its backlog is about 2.5 years and b) commercial RPO growth really began accelerating in 2H CY2024. This implies a more material lift to Azure's enterprise growth in CY27.
- **OpenAI Tranche Pricing:** While Microsoft has not been super transparent about how it has structured the big OpenAI contract, there is one aspect of it that is important in the context of an inflationary backdrop for compute. We understand that each major tranche of capacity for OpenAI is indeed fixed priced over the contract term but that each tranche is subject to a separate pricing discussion as that capacity comes online. This in our view leaves the window open for Microsoft to capitalize on the current pricing backdrop.
- **ST Contracts:** While Nebius and others have been active allocating incremental capacity to 3-6 month deals priced at $20-50 billion per GW, Microsoft has told us that it is NOT interested in doing this, that it prefers to allocate capacity to serve LT customers as well as 1P needs rather than "gauging" customers in an inflationary period. As such, we're not expecting this opportunity to be a material driver of Azure growth.
- **GPU Price Increases:** It is not just rivals that are raising GPU pricing. Just last week, it was revealed in a Microsoft post that the company raised Azure VM and storage pricing by 8-17% in certain regions in Europe and Asia (Singapore).

Other Azure Points

- **Capacity Adds:** Microsoft stood up another 1 GW of capacity in 4Q/Jun, the third straight quarter with 1 GW of adds. That's 3 GW of new capacity (equivalent to $30b+ of incremental revs) in the last 9 months alone, a material revs unlock. In our view the willingness of the CFO to guide to Azure growth acceleration in 2HCY26 signals that Microsoft has very good visibility into the addition of "warm shells" or raw capacity going live in the coming quarter. To be clear, Microsoft did not offer any capacity guidance either on our 4Q/Jun call-back or during our intra-quarter catch-up, other than to say that Microsoft is "going as fast as we can". As we published recently (see link to note here), we believe that the overall industry is working through structural data center go-live bottlenecks (including community/political push-back) better than many think. Any pick-up in the pace of capacity adds would be an unexpected source of Azure upside.

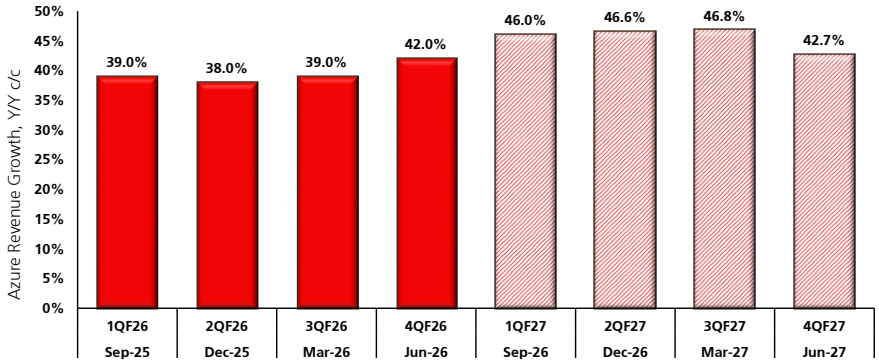
- **More Leased Capacity?:** In a recent podcast, Microsoft's CEO described the AI data center build-buy strategy as "build more, lease some". Microsoft seeded almost all neo-clouds over the last 3+ years by signing material compute commitments as the company couldn't scale 1P capacity fast enough. We did not pick any evidence of a build-lease shift intra-quarter, but we took a number of questions from investors over the last few weeks following the mid-Sept comment from one neo-cloud infra provider that "*just earlier this month, we closed another hosting deal and that translates into about $1.1 billion a month starting December 1 of this year*". Some investors believe the customer to be Microsoft. We'd be surprised if Microsoft agreed to pay up for short-term capacity, but if it did, this would signal continued compute shortages and strong AI demand.
- **Capex Less of a Concern:** In contrast to the "how high will the capex guide be raised?" debate into the 4Q/Jun print, the FY27 capex outlook has barely come up during recent conversations. This in our view is a function of a) the slope of recent memory hardware price increases doesn't look so unnerving, b) on the 4Q/Jun call, Microsoft reaffirmed (didn't raise) the CY26 capex guide of $190b ex the accounting change ($175b with the change) and c) on a mid-Sept podcast, the CEO was clear that "we don't want to build capacity for just two labs" and instead focus on capacity for 1P needs and enterprise customers (signaling a desire to limit lab-related capex). The guide for 1Q/Sept capex of $50+ billion (likely $57-58b under the old accounting method) implies 2Q/Dec capex of $52 billion. Microsoft did not comment on capex beyond CY26, only to say that a) capex will grow in FY27, b) FCF is expected to be positive in FY27 (that caps how high capex can be), and c) the capex commentary was NOT intended to convey any material fall-off in capex post-2026. We also wonder if the deployment of OpenAI's own Jalapeno chips in Azure for OpenAI workloads (which the Microsoft CEO confirmed in mid-Sept) could have the effect of limiting GPU capex growth in 2027 and beyond.
- **Custom/Private Model Impact:** It was apparent to most investors in May-Jul 2026, ahead of Microsoft's 4Q/Jun print, that the CEO was leaning heavily into the messaging about enterprises retaining control and ownership over its AI stack, using open/custom models, owning the model weights and fine-tuning on their corporate IP. If Palantir's CEO Alex Karp has been the most vocal advocate, Microsoft's Satya Nadella has drafted right behind him and now Nvidia's CEO has joined the chorus, talking up the benefits of private models. Conceptually we appreciate the benefits to Microsoft of being model-agnostic and for the critical AI model layer to be more competitive, less concentrated. A more diffuse model layer could result in wider AI adoption and more pull-through/attach to other Microsoft products (security, data) as well as benefit GMs. In a recent report (see here) we described a material increase in customer anecdotes about fine-tuning foundation models on their IP to create specialized SLMs and we hope to explore the benefits to Microsoft from this trend in more detail in a future project. The thesis that Microsoft should be a beneficiary of this trend to open and custom-built AI models is in our view already boosting sentiment.
- **Solid Core Enterprise Demand:** While all the investor attention is understandably about the AI infra and OpenAI drivers, we'd point out that demand trends for mainstream CPU-based workloads also sounds relatively good (as evidenced by solid results of late from Datadog, Snowflake and other infra-exposed software firms as well as Microsoft's own commentary). Later in this report we offer color from half a dozen enterprise checks and we did not pick up anything to point to softness in core Azure spend. The only risk we'd flag is that some enterprises could attempt to optimize their core Azure spend in 4Q/2027 in order to fund burgeoning AI-related cloud spend.

Azure Growth Bogey of 47%

The combination of investor enthusiasm about GPU price inflation and the pull-through from the strong recent OpenAI revenue growth has lifted expectations of Azure growth into the print. Against the guide for 44-45% c/c Azure growth in 1Q/Sept under the new segmentation, we believe that the bogey has now moved to a 2-point beat to 47% (as noted in Figure 1 below, we're conservatively modeling a 1-point beat to 46%). To reach 47% growth, Microsoft would have to post sequential revenue dollar growth of $3.5 billion, historically high for sure but nearly in-line with sequential growth of $3.4 billion in 4Q/Jun (when Microsoft posted a full 3-point beat). In our view the growth catalysts are strong enough that 47% growth is doable, with more limited upside relative to a quarter ago when expectations were more muted. While net positive on the stock into the print, we do worry that investors could be anchoring in math that could prove to be too optimistic about the lift from the OpenAI revs share (frankly, we believe that this is a very good moment for Microsoft to clarify the mechanics of the OpenAI revs share).

For 2Q/Dec, Microsoft did not comment on the last call whether Azure growth would KEEP accelerating to 45%+, but in our view most investors believe that it will, albeit modestly. While we do hear some bulls express a view that 2Q/Dec Azure growth could reach 50%+, we believe that most are landing in the 48-49% zip code, implying an initial 2Q/Dec guide of perhaps 46-47%, which again strikes us as doable based on solid demand trends and the sequential dollar adds required to get there. In our judgement, investor sentiment is strong enough and the stock's valuation is reasonable enough, that a 1-point miss against these (historically high) growth bogeys may not result in a material post-print sell-off.

Figure 1: UBS c/c Azure Revenue Growth Estimates - Reclassified



Source: Company filings, UBSe

Other Metrics – Focus on M365 Segment Growth

The results and outlook for the big M365 segment were mixed for 4Q/Jun, with M365 Commercial Cloud growth coming in at 14% (15% under the new revised segmentation), in-line with the high end of the guide (disappointing, as Microsoft has posted a beat in 6 of the previous 7 quarters). Seat growth of 6% was a point higher than what we were modeling (no evidence of Office seat growth compression) such that the mixed results must have been in-line ARPU growth from E5 SKU upgrades and Copilot. But the key take from the M365 side of the house last quarter was bullish – namely the guide for M365 Commercial Cloud growth to accelerate to 15% in 1Q/Sept (17% under the new segmentation) but then to accelerate throughout FY27. That guidance was a key driver of the post-print rally, as it implied that BOTH major revenue segments were poised to accelerate. Microsoft noted that strong Copilot seat growth (to 30m in 4Q/Jun) and early Cowork/E7 traction landed late in the June quarter and wasn't enough to impact 4Q/Jun results but that these tailwinds should layer-in throughout FY27. We would add that perhaps even more importantly, the impact of two concurrent M365 pricing increases should also layer-in, boosting FY27 growth.

Pivot to Usage-Based Pricing

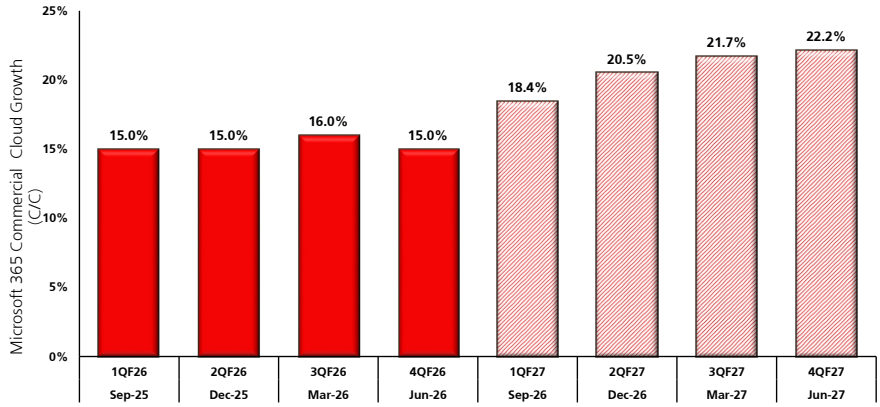
In our view the Street views of the M365 growth drivers cited above – Copilot seat growth, Cowork/E7 traction and price increases – haven't really changed into the 1Q/Sept print. What HAS changed is a growing consensus – which we share – that the series of Microsoft blog posts on Sept 25th about the Copilot suite and pricing was less about Autopilot (as initially thought) and more about a faster pivot to consumption or usage-based pricing. The "new Copilot" includes Home (core chatbot plus Cowork), Code (a lightweight version of GitHub Copilot) and Autopilot (a personal agent, previously known as Scout) as well as some incremental FinOps features to manage AI spend. The new Copilot has an updated interface and is grounded in exposure to more Microsoft data sets (D365, the Power platform, more plug-ins). But it's the pricing structure that grabbed our attention. Just six months ago, Microsoft was messaging a plan to add more AI functionality to Copilot in order to drive seat growth. Now, the expressed vision is for a hybrid pricing model:

- **Core $30 List per Seat:** Microsoft is charging the same fixed per-seat (what Microsoft calls a user subscription license or USL) list price of $30 (we estimate that actual pricing is closer to $21 or perhaps even high-teens) for "everyday AI", core Copilot chatbot features plus Cowork. This "everyday AI" use includes usage limits and the default is the Copilot Auto feature that routes to cheaper frontier lab as well as proprietary Microsoft MAI models. If this cap is exceeded, users can acquire more credits. Users must also be part of Microsoft's Frontier program, which could drive incremental usage fees.
- **More Usage Pricing:** If users want to harness more expensive frontier lab AI models and/or execute more and longer-running tasks, the pricing is much higher. In the blog post, Microsoft offered two core Chat/Cowork scenarios (higher usage caps, premium models) that resulted in monthly spend of $69 and $73, over 2x the core $30 list price. The blog post was unclear what the usage pricing is for features such as Autopilot or Code, but use of these and other AI features would presumably be additive.

Impact on M365 Growth/Margins

It is very tough to model what the upside to M365 Commercial Cloud growth could be from the incremental Copilot features and the shift to more usage-based pricing. Post the 4Q/Jun print, we were modeling M365 Copilot revs of $4.0 billion in FY26 and $10.9 billion in FY27, for growth of $6.9 billion. This was calculated almost entirely off of seats, which we estimated to ramp from 30 million at the end of FY26 to 64 million at the end of FY27, along with a steady realized seat price of $20. Estimating the usage-based lift on top of the seat-driven growth of $6.9 billion in FY27 is challenging, but to illustrate the uplift, let's assume that FY27 growth could be even 50% higher (as noted above, Microsoft's examples showed a 2x spending increase) or an added $3.5 billion. This would represent ~4-points of incremental M365 Commercial revs growth. One would assume that auto-routing to cheaper AI models in the "base" Copilot SKU and more usage-based pricing for more sophisticated tasks might both serve to boost M365 GMs.

Figure 2: UBS M365 Commercial Cloud Segment Estimates – Reclassified



Source: Company filings, UBSe

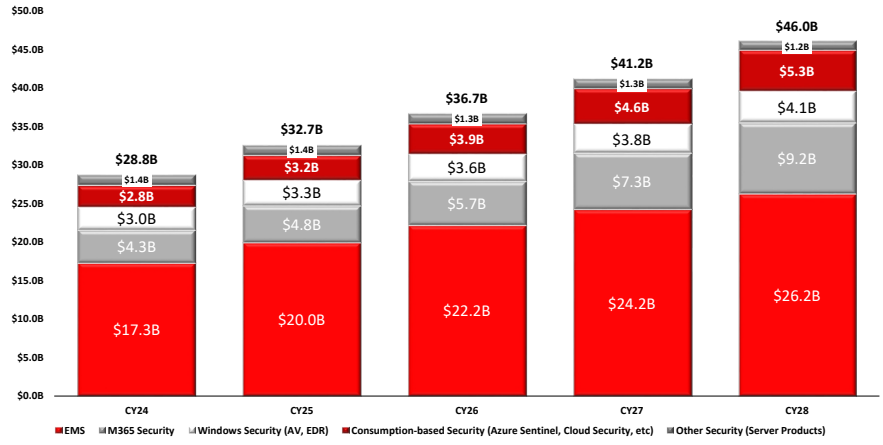
Microsoft as an AI Security Play

In a recent report on AI trends (see link here), we noted a tone shift from our enterprise checks, notably a heightened focus on the AI cyber-security layer, especially for multi-agent environments and especially post the OpenAI-Hugging Face incident. Pure-play cyber-security software/hardware stocks have run hard off their April lows, on a view that security could be the next sub-sector to get pulled-along by AI deployments. Since mid-April, the shares of Okta (+260%), Crowdstrike (+180%), Palo Alto Networks (+160%), Fortinet (+150%), Cloudflare (+110%) and Zscaler (+90%) have materially outperformed. Many investors are now looking for "sleeper" cyber stocks, and the shares of Datadog, Dynatrace and ServiceNow are now being boosted from their exposure to AI security/observability.

The largest security software firm in the world – Microsoft – should hardly be a "sleeper" AI security play, but to date it has garnered less attention than the pure-plays and in our view Microsoft itself has been surprisingly quiet about its position to benefit from greater AI security spending (we expect that to change at the coming Ignite conference in SF in mid-Nov). That is already beginning to change, as Microsoft's CEO is now more actively talking about the need to manage AI agents in a controlled environment, the need for real-time monitoring ("enterprises need active monitoring, observability and governance of agent behavior") and more robust security. In his most recent post ("Models as Insider Risks", see here), Microsoft's CEO spoke to the need to "step back and assess the trust architecture", separating the use of AI models from the architecture required to secure them. This message is of course self-serving (Microsoft is not a frontier model provider but it has the largest 3P security portfolio in the world) but it signals that Microsoft's reps and engineers in the field will be delivering this message, which could boost security sales.

In our view, this is far more than rhetoric, as Microsoft is well-positioned to play the role of trusted AI security partner given a) its scale, likely $30+ billion in security revs, the bulk of which lands in the M365 segment and could be a further accelerant in FY27, b) the huge Entra identity and access management business (AI agents also need an identity) and c) the ability of Microsoft to deploy its own new MAI-Cyber-1-Flash model (the company has said "it achieves better performance than a much larger Mythos model but at half the cost when combined with our multi-agent security harness"). In Figure 3 below, we showcase Microsoft's security portfolio (to be clear, based entirely on our own estimates of the scale/mix of Microsoft's security portfolio).

Figure 3: Microsoft's Security Portfolio



Source: UBSe

Reworking the Model – New Revs Segmentation

In early-Sept, Microsoft announced a new revenue segmentation but apples-to-apples, the disclosure was NOT accompanied by any guidance revisions. The new revenue classification required investors to re-engineer their Microsoft models, a heavy lift. We have now completed this effort and are publishing our revised model alongside this earnings preview note. Microsoft eliminated its previous reporting segments (Intelligent Cloud, Productivity & Business Processes and More Personal Computing) and replaced them with two new major segments – Agents and Infrastructure (which includes Azure and M365 and hence will be the focus of investors) and Devices and Consumer (far less of a focus). A few notable flags:

- **Azure** will now exclude GitHub Cloud, developer services (essentially non-GitHub devs products such as Visual Studio), Security Copilot (moved into M365) and healthcare and life sciences industry solutions (Nuance). Reported Azure revs are now lower (with a slightly different growth rate) but cleaner, more of a pure representation of usage-based services. In contrast, AWS and Google Cloud revenues include a lot of other services such that a direct comparison of scale and growth rates is now more challenging.
- For the first time, **Microsoft is now reporting Azure revs**, a welcome (and late) disclosure as rivals Amazon and Google have been reporting their cloud segment revs for years. Azure revs of $29.4 billion in 4Q/Jun implies annualized Azure revs of $118 billion or 33% of total Microsoft revs. Microsoft said that it was a "logical step" to begin reporting Azure revs given its scale. In light of Amazon and Google also reporting AWS/Google Cloud margins, we asked Microsoft whether an Azure margin disclosure could come next. Microsoft did not signal that this is likely, saying that "we're not running the business this way", with the company focused more on overall Microsoft Cloud margins.
- The **revs gap** between "Old Azure" (UBS estimate of $30.9 billion for 4Q/Jun) and "new Azure" (of $29.4 billion) is $1.5 billion or $6 billion annualized. This gap of course includes any UBS estimate error but assuming we were relatively accurate, it represents the removal of GitHub Copilot, Nuance, legacy devs tools like Visual Studio and Security Copilot (still small).

- The higher **M365 Commercial Cloud segment growth** outlook for 1Q/Sept (15% under the old segmentation, 17% under the new) tells us that the addition of GitHub Copilot, Visual Studio and Security Copilot (from Azure to M365) is very accretive to overall M365 growth. Given that Security Copilot revs are still relatively small and Visual Studio is a mature (slower growth) product, it must be that GitHub Copilot growth in particular is significant (we were estimating +142% growth and a 1-point lift to Azure growth in 4Q/Jun) post the June 1st pricing change from seats to usage-based, and indeed this lift may have been even larger (we're now estimating the GitHub Cloud business all up at $3.6 billion in FY26, up from $2.8 billion in our prior model). While more challenging to size, we estimate that Security Copilot is nearing $400 million in annualized revs as well. We would not be surprised if this reclassification was partly motivated by a desire to move GitHub Copilot out of Azure in order to keep Azure growth "clean". As noted above, this informs our view of the potential revenue accretion from a seats-to-usage pricing shift in other parts of the Copilot/M365 suite.

Other Observations

- **The Pivot to Headless Apps:** Microsoft is arguably more assertive than most apps software peers (Salesforce has of course been quite vocal) in advocating for a "headless" UX (the application accessed via a 3P surface area or UI). Microsoft's CEO has argued in recent posts/pods (notably in a recent pod entitled "The Infinite SaaS Factory", see here) that traditional app interfaces will get disintermediated by AI (which will "come over the top"), in a way that will likely drive UP activity levels, making systems of record more important. Microsoft is positioning Copilot to be the new interface, the "new OS for work" and the CEO wrote that "we are entering a new era of truly personal software, where you can easily tailor the apps to the way you work" (we've been writing for some time about the custom-built AI apps trend) and that "the opportunity is to reinvent systems of record for the agentic world". Microsoft's Copilot head then posted "2027 is the year generic SaaS dies, companies won't buy off-the-shelf solutions that fit poorly, head interfaces will become more natural and specialized to companies and roles". While AI disintermediation fears have receded, these comments from Microsoft leadership are a reminder that the SaaS/apps layer may still need to be reinvented, adding to the risk profile.
- **The Margin Story:** On the 4Q/Jun call, Microsoft guided to FY27 EBIT margins to be "down by less than 100bps". Given normal conservatism, we are modeling FY27 operating margins to be -20bps compared to FY26. Intra-quarter, there were no notable headcount cuts or other disclosures that impacted our view of margins. Microsoft continues to message that it is routing user tasks to cheaper AI models, using more of its own MAI models and (as per The Information, see here), cutting back on the use of premium frontier models by Microsoft employees. Moreover, Microsoft has said that it will "scale our own Maia family (of chips) to multi-GW deployments in CY27", another source of margin upside. In other words, the signals point to continued cost discipline and increase our confidence in our flattish margin outlook for FY27.
- **Gaming's Return to Growth:** Despite the gaming segment posting -10% y/y growth in 4Q/Jun, Microsoft guided to a "return to growth" in FY27. While not a key debate point heading into the print, we'd simply point out that Microsoft has elaborated with us that this outlook is partly rooted in a view that the new Call of Duty launch (Modern Warfare 4) slated for the holiday season (late-October release) could be far more successful than in prior years, coupled with a net boost from the lower Xbox Game Pass price points.

What We Heard

Over the last few weeks we caught up with six Microsoft partners and customers and offer the unvarnished feedback below. In summary, we heard: 1. Commentary about the growth in their Microsoft Azure practices sounded quite strong, with all partners landing in-line or better versus their targets. 2. Overall enterprise AI spending intentions sounded quite good, with no pull-back comments. One partner (one of Microsoft's largest) said that AI spend would accelerate in 2027 to 35-40% growth across large enterprises. 3. The only cautious comments were a) one partner said that many enterprises have exhausted their IT budgets into 4Q26, implying little if any flush (we were not counting on one anyway, given that 1H26 AI spend ran way above plan for many organizations), b) one partner said that any M365 segment upside from new products (Cowork, Autopilot) would take 6+ months to translate to spend upside (tempering one's view of the M365 uplift described above), c) one partner cited soft Dynamics 365 growth, a small part of Microsoft and more evidence that it's a tough apps software spending backdrop right now.

Partner 1

- *For AWS in 3Q, we are going to be around the 19-20.5% growth, at the high end of plan. The forecast for 4Q is 19.5-21.5%. Azure is at 45.6% for 3Q and was certainly above plan. For GCP in 3Q, it's about 49%, above plan as well. Azure and GCP should accelerate in 4Q. Azure and GCP are still growing in the enterprise more than AWS. Aside from that, GCP is offering tremendous incentives from VMs and other workloads. AI is also benefiting Azure from my perspective. It's about customers building agents on Azure OpenAI and the whole Microsoft 365 ecosystem including Power Platform.*
- *For AWS, maybe not 4Q but going forward, they're the only CSP providing access to all models, open and closed, including Chinese. I think AWS is better positioned over the medium-to-long-term. The workloads driving growth in Azure are agentic apps, Copilots, and then data and analytics and developer tools. On GCP, the top two workloads there are agents in Vertex and data and analytics like BigQuery. I think the biggest competitor to Snowflake is now Google BigQuery. Within frontier labs, it's training through TPU.*
- *On model selection, in terms of value, 75% of the token value would still be consumed in the closed frontier space and maybe 25% in the open source. Companies that have spent substantial time in relative terms on AI engagement are diversifying into open source in a meaningful way. If you're a high tech company like DoorDash or Uber, it's easy to use a closed source model first, develop your workflow, then for a wider expansion, move to open source. If you're J&J for example, that's just not possible because to on-board a closed source model, that takes time and then open source will raise more questions.*
- *Our M365 Commercial sub-practice grew at about 18.3%. We don't have a specific plan but hitting 18% is pretty good for this large of a practice. For Copilot, seat growth was over 40% y/y. I still don't see reasons for organizations to buy Copilot just for Copilot. You now have Code, Cowork, Researcher, and autonomous worker. Within those new launched subproducts, there is potential, but for it to materially drive M365 consumption, I think it's at least 6 months out. M365 growth will still happen due to other factors like Defender.*
- *Autopilot is the work equivalent of Meta Muse. We are just about to pitch it to a manufacturing client in the next couple weeks as how an Autopilot could track revenue risk daily, create a risk report from across your CRM, workflow tool, and ERP as well to monitor then take some actions. It has tremendous potential if it can deliver. It will be limited revenue contribution-wise because it will be expensive. I think Copilot Chat will still be the number one contributing.*
- *E5 is in a sweet spot, seeing a strong uptick. E7 is by invitation only pretty much. The Office price increase was more than 10%, we're seeing about 5-8% increases.*
- *Customers are not asking about MAI models. MAI to my knowledge is slightly different. Code-1-flash aligns with GitHub Copilot. Then you have MAI Cyber which is aligned with those workflows. I wouldn't say these have generated any traction.*

- *Yes Microsoft security has the network effect. It's underpinned by the ever-expanding Microsoft ecosystem. Entra ID is the number one beneficiary. The second is Purview, then Defender. That also extends to threat intelligence and Sentinel. That is directly having a platform effect for Microsoft. Microsoft is probably the biggest security business today.*

Partner 2

- *We're not concerned with PoCs but more about how we can take more workloads to production. Almost everything has an infusion of GenAI or agentic AI to it. Hyperscaler performance is about launch ARR. We were able to meet the numbers for AWS and Microsoft this quarter. I would say AWS is in the range of $300M of new launches. Microsoft was a little higher at around $380-400M launch ARR. The Google relationship has been considerably smaller in the range of $180-190M, and we're lagging 15-20% behind the plan there. We expect to make that up in coming quarters, and for us Google has been the highest pickup on the FDE front. With Microsoft, our practice is over $1 billion, AWS is almost a billion and Google is probably half of that.*
- *We always have great pull in C1Q for the hyperscalers so we are pretty positive there. Normally for C4Q, it's similar to C3Q. We expect this to be 15% higher than C3Q because a lot of GSIs have their FY end in this quarter so a lot of things mobilize. We think we can meet our targets here, as we have a few deals we are expecting to close in the October-November timeframe.*
- *A problem we are facing - as all GSIs are - is that SAP RISE is taking customers direct. It's ultimately for the customer to decide what hyperscaler it sits on, and the only thing we can take out of the deal is on the service side. In terms of who the SAP transformation is benefitting, it's not landing on one hyperscaler more than the others.*
- *The factors driving larger deals are legacy migration and/or tech debt removal. I would say migrations are status quo. All of us initially went to the CIO to discuss workloads, then we started talking to the CMO, legal and finance teams. So while the background is still a GenAI-based motion, it's now moving towards a persona-based selling. Coding tools are accelerating the migration process, but you need to have expertise there to manage the migration. If you listen to the claims of all these hyperscalers, it's 2-3x more efficient to use their tools for certain languages. A lot of customers are using them and hyperscalers are offering incentives to use them.*
- *On paper I see pull-through from agent building to other services, but practically this is not the case. APAC has been adopting these models and there we have seen neighboring services usage has increased when moving into production, but the main problem has been that things are not moving to production. Customers are concerned that the cost of an agent in deployment will go beyond what they expect. A lot of core native hyperscaler services are definitely there for agentic security.*

Partner 3

- *Azure has been doing pretty well. Fabric was one of the instrumental features. They had a pretty solid quarter. Where they are struggling a little bit is that the frontier labs are taking a lot of developer capabilities from Microsoft with GitHub. AWS is also doing well, seeing a lot of renewals and expansions, not a lot of new projects but we are seeing success and snowballing into more use cases with existing projects. Google is slower, more organic, but doing Google projects are continuing to implement. Gemini is catching up but still behind.*
- *We are seeing around 20-23% growth on Azure, 20-21% on AWS and 15-16% in GCP for our quarter ending in August. It was around what we were expecting. Last quarter, we experienced very similar growth. September has been very consistent. We don't see a lot of change in growth for the next quarter, but it is going to be tricky because a lot of projects are now rescoping in November and December.*

- *Spend on AI is increasing disproportionately. There were a certain number of AI use cases we were delivering in the first part of the year. The success of let's say 3 use cases we delivered is turning into 8 more use cases. Every time we have seen value from AI, there is more spent. We're looking at one big pot of AI dollars right now. Most customers are talking about 35-40% increases in 2027 from 2026. 2025 budgets were very disjointed, but I would say that was a 20-25% increase.*
- *I wouldn't say the hyperscalers are just benefiting from reselling tokens. They are building around that. They have Foundry, Fabric, data modernization and migration, text analytics, the control tower, so they're building a whole set of services around OpenAI. Tokens are not going to be the biggest piece of consumption.*

Partner 4

- *Our F2Q/C3Q has been pretty steady. We saw some saturation in some customers. We have a 20% y/y growth target this year. There's a lot of focus this year on cloud infra. We're a heavy Google partner, followed by Azure then AWS. Our performance has been 26% growth in Google, then 22-23% in Azure, then AWS has been slightly under that partly because of pricing flexibility we can do and learning programs we have with Google.*
- *The December targets are set higher, but in terms of achievement, I don't think that we will be achieving targets. The target would be 25% for all three. Given holidays and the end of the financial year for some, customers are reserved and have exhausted their budget. It's not across the board. I have seen some of my healthcare customers do that as they develop products in the back half of the year. I don't see that in BFSI. They're ok to spend.*
- *What's driving the acceleration is primarily services more than adding new modules. I see a lot of customers moving into implementation. We had one huge customer on mainframe trying to move a lot of data into cloud and quite a few customers in legacy migration. There's also a steady BAU. There have been some new modules like Bedrock or Azure AI studio. For applications and development, customers are using Muse spark. I think there are customers asking about it. It can be run on hyperscalers.*
- *I haven't seen any hyperscaler price increases. With AI, we're trying to see if customers are interested in more flexibility. I think Google for sure is willing to adjust pricing.*

Partner 5

- *I cover D365. Nothing has changed in the last few months. Copilot has become smarter. Microsoft has a better strategy and have a better chance to go up against the labs. Microsoft is bringing the whole suite of solutions where you custom build with the studio.*
- *D365 was slow but that's because the whole application space spend has been slow in the last few quarters. There's the dilemma of building vs buying. It causes a lot of confusion in the market because clients don't understand all the new products. Customers saw the Claudeforce launch and started questioning how they should use Agentforce. That's happening with Microsoft too. Nothing has changed with Dynamics. CRM is slow but it's not just Microsoft.*
- *There is more merit to Microsoft being an IP protector. I would know what they have under the hood relative to the labs. There is a trust factor. I wouldn't say that's been an obstacle though. No one has raised that issue to me. But it's hard for me to say whether there has been additional gains because of this concern. I wouldn't know.*

Customer 1

- *We are pretty bullish on AI spend. It's up and to the right. We're building products to link our current products together and encouraging experimentation to build skills and agents so employees can get better value.*

- *We're on Google Cloud and Azure. I can only imagine our cloud spend stays stable or goes up. We have the ability to create something let's say in any app of choice now that saves us 10 or 15 hours and then publish that to the broader organization. That's all hosted in cloud infra and will need to scale. That's probably where I would expect the biggest growth.*
- *If we've been limiting choices of models, it's been pretty quiet. I think our attitude is we want to see what tools are best for the task and then work backwards. There's a healthy mix of changing over to cheaper models where possible, depending on the data concerns. But it's not like San Francisco where a lot of people are using Kimi, DeepSeek, or GLM. I don't see us ever using anything but a U.S. provider. There's a mix of token limits, for example, that have a soft cap and require approval in some use cases though.*
- *We're building our own internal personal agent for employees. They actually require very little compute. Autopilot is limited in what it can do because it's kind of locked down, meaning it takes know-how to build additional agents and skills, whereas something like OpenClaw or KiloClaw has been made to work specifically well in a company's containers. But it is integrated with the rest of the Microsoft suite, which makes it pretty nice as far as having prebuilt connectors to everything. So to roll this out quickly on your existing stack, it's like a no-brainer.*

Valuation and Stock Sentiment

Post a material 39% move in the stock since the 4Q/Jun print, Microsoft shares now trade at CY27E multiples of 23x non-GAAP EPS (25x GAAP EPS). Based on investor conversations, it is pretty clear that Microsoft shares are now a consensus long, rooted in optimism about Azure and M365 segment upside (described above), confidence in the CFO's margin/EPS control as well as a belief that the upcoming meetings with Microsoft leadership at the mid-Nov Ignite conference further improve sentiment. In terms of stock positioning, we'd also argue that investor appetite to build positions in SaaS/apps names is limited right now post the big run since June (a run that was NOT accompanied by any upward growth estimate revisions), the long-semis trade is hampered by high expectations and AI-related concerns and investors have already rotated into the software sectors clearly benefiting from AI (or likely to) such as data (Snowflake, Palantir), infrastructure (Datadog) and cyber-security (Palo Alto Networks, CrowdStrike). There aren't a lot of "AI winner" segments and stocks that appear to be "clean" and reasonably priced.

For many investors, Microsoft at 23x CY27 non-GAAP EPS appears to be in the sweet spot – high-quality and defensive, mid-teens or higher growth, exposed to various AI pull-through opportunities, both AI model and hardware agnostic and not trading at a stretch multiple. Our biggest concern is positioning (the stock is a consensus long) as well as the risk that Azure growth estimates might be anchored to too-optimistic math around things like the OpenAI revs share lift. That said, Azure bogeys of 47% for 1Q/Sept and a guide bogey of 46-47% for 2Q/Dec still strike us as being doable. Sentiment is very strong heading into this 1Q/Sept print relative to the cautious sentiment into the 4Q/Jun print, but we still net out positive.

We're raising our PT to $675 from $525 based on an assumed CY28E non-GAAP PE multiple of 25x (prior 19x), maintaining a deserved ~50% premium to the peer group following a re-rating given the above-average growth and margin profile along with the tailwinds noted above.

Figure 4: Peer Group Valuation Multiples

		Stock Price	% Change	Market	Revenue Growth			EV/FCF		Non-GAAP P/E	
Company	Ticker	10/13/2026	YTD	Cap ($M)	MRQ	CY27E	CY28E	CY27E	CY28E	CY27E	CY28E
Atlassian Corp.	TEAM	$208.04	28%	$52,594	27.6%	15.1%	18.3%	22.8x	19.5x	31.5x	26.4x
ServiceNow, Inc.	NOW	$138.61	(10%)	$143,415	24.0%	17.1%	17.2%	21.0x	17.1x	27.0x	22.2x
SAP SE	SAP	€219.75	(10%)	€255,047	9.4%	11.7%	11.7%	22.2x	19.6x	26.2x	22.1x
Microsoft Corp.	MSFT	$543.45	12%	$4,054,137	17.7%	18.7%	17.9%	NM	NM	23.2x	19.9x
Amazon.com, Inc.	AMZN	$258.58	12%	$2,819,844	19.6%	14.7%	14.2%	NM	NM	22.7x	18.0x
Alphabet Inc.	GOOGL	$353.78	13%	$4,354,678	24.2%	24.0%	20.3%	NM	NM	21.6x	18.0x
Autodesk, Inc.	ADSK	$230.43	(22%)	$48,736	16.1%	11.5%	10.1%	15.7x	13.7x	16.5x	14.2x
Workday, Inc.	WDAY	$186.02	(13%)	$45,818	12.8%	10.1%	9.4%	12.0x	10.7x	14.2x	13.1x
Salesforce, Inc.	CRM	$238.01	(10%)	$195,406	10.8%	10.0%	10.9%	13.1x	11.5x	14.2x	12.2x
Oracle Corporation	ORCL	$143.20	(27%)	$429,600	29.6%	40.2%	43.0%	NM	NM	15.8x	10.9x
Intuit, Inc.	INTU	$301.45	(54%)	$81,994	13.7%	9.5%	9.1%	8.8x	8.0x	10.0x	9.1x
Adobe, Inc.	ADBE	$236.28	(32%)	$93,425	12.9%	9.5%	8.4%	8.1x	7.5x	8.3x	7.1x
Mean:			**-11%**		**18.3%**	**15.8%**	**15.7%**	**15.5x**	**13.4x**	**18.9x**	**15.7x**
Median:			**-10%**		**16.1%**	**11.7%**	**11.7%**	**14.4x**	**12.6x**	**16.5x**	**14.2x**

Source: Company filings, UBSe, Visible Alpha

Microsoft Corp. (MSFT.O)

Income Statement (US$m)	06/24	06/25	06/26	06/27E	%ch	06/28E	%ch	06/29E	06/30E	06/31E
Revenues	**245,122**	**281,724**	**331,838**	**395,918**	*19.3*	**472,504**	*19.3*	**555,614**	**642,935**	**734,530**
Gross profit	171,008	193,893	225,464	260,965	*15.7*	301,470	*15.5*	343,271	386,176	429,306
EBITDA (UBS)	**131,720**	**162,681**	**198,684**	**240,489**	*21.0*	**298,476**	*24.1*	**359,366**	**420,929**	**484,625**
Depreciation & amortisation	(22,287)	(34,153)	(43,448)	(55,568)	*-27.9*	(80,185)	*-44.3*	(105,554)	(131,828)	(158,868)
EBIT (UBS)	**109,433**	**128,528**	**155,236**	**184,921**	*19.1*	**218,291**	*18.0*	**253,812**	**289,102**	**325,758**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	0	0	0	0	-	0	-	0	0	0
Net interest	0	0	4,167	0	-	0	-	0	0	0
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**109,433**	**128,528**	**159,403**	**184,921**	*16.0*	**218,291**	*18.0*	**253,812**	**289,102**	**325,758**
Tax	(19,651)	(22,937)	(30,618)	(36,904)	*-20.5*	(43,578)	*-18.1*	(50,682)	(57,740)	(65,072)
Profit after tax	**89,782**	**105,591**	**128,785**	**148,017**	*14.9*	**174,712**	*18.0*	**203,130**	**231,361**	**260,686**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**89,782**	**105,591**	**128,785**	**148,017**	*14.9*	**174,712**	*18.0*	**203,130**	**231,361**	**260,686**
Net earnings (UBS)	**89,782**	**105,591**	**128,785**	**148,017**	*14.9*	**174,712**	*18.0*	**203,130**	**231,361**	**260,686**
Tax rate (%)	18.0	17.8	19.2	20.0	*3.9*	20.0	*0.0*	20.0	20.0	20.0

Per Share (US$)	06/24	06/25	06/26	06/27E	%ch	06/28E	%ch	06/29E	06/30E	06/31E
EPS (UBS, diluted)	12.02	14.14	17.28	19.94	*15.4*	23.63	*18.5*	27.58	31.54	35.68
EPS (local GAAP, diluted)	12.02	14.14	17.28	19.94	*15.4*	23.63	*18.5*	27.58	31.54	35.68
EPS (UBS, basic)	12.08	14.20	17.33	19.98	*15.3*	23.68	*18.5*	27.64	31.61	35.76
DPS (net) (US$)	2.98	3.28	3.61	3.97	*10.0*	4.37	*10.0*	4.80	5.28	5.81
Cash EPS (UBS, diluted) [1]	15.01	18.72	23.11	27.42	*18.7*	34.47	*25.7*	41.91	49.51	57.42
Book value per share	36.13	46.04	59.42	81.41	*37.0*	107.31	*31.8*	137.51	172.00	210.94
Average shares (diluted)	7,469	7,465	7,454	7,424	*-0.4*	7,395	*-0.4*	7,365	7,336	7,307

Balance Sheet (US$m)	06/24	06/25	06/26	06/27E	%ch	06/28E	%ch	06/29E	06/30E	06/31E
Cash and equivalents	75,543	94,565	76,843	79,157	*3.0*	83,998	*6.1*	92,731	110,441	140,535
Other current assets	84,191	96,566	130,867	108,672	*-17.0*	127,989	*17.8*	148,878	170,290	192,520
Total current assets	**159,734**	**191,131**	**207,710**	**187,829**	*-9.6*	**211,987**	*12.9*	**241,610**	**280,731**	**333,055**
Net tangible fixed assets	154,552	229,789	337,253	498,058	*47.7*	668,816	*34.3*	849,363	1,036,548	1,224,970
Net intangible fixed assets	146,817	142,113	138,260	135,163	*-2.2*	133,022	*-1.6*	131,078	129,601	128,473
Investments / other assets	51,060	55,970	75,153	74,755	*-0.5*	99,013	*32.5*	159,896	257,862	384,505
Total assets	**512,163**	**619,003**	**758,376**	**895,804**	*18.1*	**1,112,839**	*24.2*	**1,381,946**	**1,704,741**	**2,071,004**
Trade payables & other ST liabilities	116,344	138,219	159,598	152,002	*-4.8*	173,715	*14.3*	196,665	220,006	243,927
Short term debt	8,942	2,999	9,227	9,227	*0.0*	9,227	*0.0*	9,227	9,227	9,227
Total current liabilities	**125,286**	**141,218**	**168,825**	**161,229**	*-4.5*	**182,942**	*13.5*	**205,892**	**229,233**	**253,154**
Long term debt	42,688	40,152	31,067	31,067	*0.0*	31,067	*0.0*	31,067	31,067	31,067
Other long term liabilities	75,712	94,154	116,097	100,372	*-13.5*	106,985	*6.6*	134,348	185,397	248,836
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**243,686**	**275,524**	**315,989**	**292,668**	*-7.4*	**320,994**	*9.7*	**371,307**	**445,697**	**533,057**
Common s/h equity	**268,477**	**343,479**	**442,387**	**603,137**	*36.3*	**791,845**	*31.3*	**1,010,639**	**1,259,044**	**1,537,947**
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	**512,163**	**619,003**	**758,376**	**895,804**	*18.1*	**1,112,839**	*24.2*	**1,381,946**	**1,704,741**	**2,071,004**

Cash Flow (US$m)	06/24	06/25	06/26	06/27E	%ch	06/28E	%ch	06/29E	06/30E	06/31E
Net income (before pref divs)	89,782	105,591	128,785	148,017	*14.9*	174,712	*18.0*	203,130	231,361	260,686
Depreciation & amortisation	22,287	34,153	43,448	55,568	*27.9*	80,185	*44.3*	105,554	131,828	158,868
Net change in working capital	(45,660)	15,465	(11,028)	(12,285)	*-11.4*	2,445	-	6,672	15,781	28,403
Other operating	52,139	(19,047)	21,729	24,290	*11.8*	(3,699)	-	(22,466)	(43,725)	(71,700)
Operating cash flow	**118,548**	**136,162**	**182,934**	**215,589**	*17.9*	**253,644**	*17.7*	**292,890**	**335,245**	**376,257**
Tangible capital expenditure	(44,477)	(64,551)	(115,948)	(201,208)	*-73.5*	(234,817)	*-16.7*	(267,049)	(297,197)	(322,475)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(69,132)	(5,978)	(1,743)	0	-	0	-	0	0	0
Other investing	16,639	(2,070)	(21,809)	(12,068)	*44.7*	(13,986)	*-15.9*	(17,108)	(20,339)	(23,687)
Investing cash flow	**(96,970)**	**(72,599)**	**(139,500)**	**(213,276)**	*-52.9*	**(248,803)**	*-16.7*	**(284,156)**	**(317,536)**	**(346,162)**
Equity dividends paid	(21,771)	(24,082)	(26,445)	0	-	0	-	0	0	0
Share issues / (buybacks)	(15,252)	(16,364)	(20,262)	0	-	0	-	0	0	0
Other financing	29,478	(2,291)	(2,839)	0	-	0	-	0	0	0
Change in debt & pref shares	(30,212)	(8,962)	(3,000)	0	-	0	-	0	0	0
Financing cash flow	**(37,757)**	**(51,699)**	**(52,546)**	**0**	-	**0**	-	**0**	**0**	**0**
Cash flow inc/(dec) in cash	**(16,179)**	**11,864**	**(9,112)**	**2,314**	-	**4,841**	*109.2*	**8,733**	**17,709**	**30,094**
FX / non cash items	(19,540)	7,158	(8,610)	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**(35,719)**	**19,022**	**(17,722)**	**2,314**	-	**4,841**	*109.2*	**8,733**	**17,709**	**30,094**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Microsoft Corp. (MSFT.O)

Valuation (x)	06/24	06/25	06/26	06/27E	06/28E	06/29E	06/30E	06/31E
P/E (local GAAP, diluted)	31.5	30.0	26.6	26.9	22.7	19.5	17.0	15.1
P/E (UBS, diluted)	31.5	30.0	26.6	26.9	22.7	19.5	17.0	15.1
P/CEPS	25.1	22.6	19.8	19.8	15.7	12.9	11.0	9.4
Equity FCF (UBS) yield %	2.6	2.3	2.0	0.4	0.5	0.6	1.0	1.3
Dividend yield (net) %	0.8	0.8	0.8	0.7	0.8	0.9	1.0	1.1
P/BV	10.5	9.2	7.7	6.7	5.1	4.0	3.2	2.6
EV/revenues (core)	NM	NM	10.0	10.0	8.4	7.1	6.1	5.3
EV/EBITDA (UBS core)	20.8	18.9	16.7	16.5	13.3	11.0	9.4	8.1
EV/EBIT (core)	25.0	24.0	21.4	21.5	18.2	15.6	13.7	12.0
EV/OpFCF (core)	31.4	31.4	40.2	>100	62.3	43.0	31.9	24.2
EV/op. invested capital	15.1	12.2	10.3	8.8	6.4	4.9	3.8	3.1

Enterprise value (US$m)	06/24	06/25	06/26	06/27E	06/28E	06/29E	06/30E	06/31E
Market cap.	2,817,117	3,161,074	3,427,614	3,998,789	3,998,789	3,998,789	3,998,789	3,998,789
Net debt (cash)	(63,582)	(63,582)	(63,582)	(37,706)	(41,283)	(41,283)	(61,292)	(85,194)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**2,753,535**	**3,097,492**	**3,364,032**	**3,961,083**	**3,957,505**	**3,957,505**	**3,937,497**	**3,913,595**
Non core assets	(14,600)	(15,405)	(36,348)	(36,348)	(36,348)	(36,348)	(36,348)	(36,348)
Core enterprise value	**2,738,935**	**3,082,087**	**3,327,684**	**3,924,735**	**3,921,157**	**3,921,157**	**3,901,149**	**3,877,247**

Growth (%)	06/24	06/25	06/26	06/27E	06/28E	06/29E	06/30E	06/31E
Revenue	15.7	14.9	17.8	19.3	19.3	17.6	15.7	14.2
EBITDA (UBS)	27.2	23.5	22.1	21.0	24.1	20.4	17.1	15.1
EBIT (UBS)	22.0	17.4	20.8	19.1	18.0	16.3	13.9	12.7
EPS (UBS, diluted)	22.5	17.7	22.2	15.4	18.5	16.7	14.4	13.1
Net DPS	10.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0

Margins & Profitability (%)	06/24	06/25	06/26	06/27E	06/28E	06/29E	06/30E	06/31E
Gross profit margin	69.8	68.8	67.9	65.9	63.8	61.8	60.1	58.4
EBITDA margin	53.7	57.7	59.9	60.7	63.2	64.7	65.5	66.0
EBIT (UBS) margin	44.6	45.6	46.8	46.7	46.2	45.7	45.0	44.3
Net earnings (UBS) margin	36.6	37.5	38.8	37.4	37.0	36.6	36.0	35.5
ROIC (EBIT)	60.4	50.7	48.0	41.2	35.2	31.1	27.9	25.5
ROIC post tax	49.6	41.7	38.8	33.0	28.2	24.9	22.3	20.4
ROE (UBS)	37.8	34.5	32.8	28.3	25.0	22.5	20.4	18.6

Capital structure & Coverage (x)	06/24	06/25	06/26	06/27E	06/28E	06/29E	06/30E	06/31E
Net debt / EBITDA	(0.2)	(0.3)	(0.2)	(0.2)	(0.1)	(0.1)	(0.2)	(0.2)
Net debt / total equity %	(8.9)	(15.0)	(8.3)	(6.4)	(5.5)	(5.2)	(5.6)	(6.5)
Net debt / (net debt + total equity) %	(9.8)	(17.6)	(9.0)	(6.9)	(5.8)	(5.5)	(5.9)	(7.0)
Net debt/EV %	(1.6)	(1.2)	(1.3)	(1.0)	(1.0)	(1.2)	(1.6)	(2.2)
Capex / depreciation %	199.6	189.0	NM	NM	NM	NM	NM	NM
Capex / revenue %	18.1	22.9	NM	NM	NM	NM	NM	NM
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	4.1	4.3	4.8	5.0	5.4	5.8	6.0	6.2
Div. payout ratio (UBS) %	24.7	23.1	20.8	19.9	18.4	17.4	16.7	16.2

Revenues by division (US$m)	06/24	06/25	06/26	06/27E	06/28E	06/29E	06/30E	06/31E
Others	245,122	281,724	331,838	395,918	472,504	555,614	642,935	734,530
Total	**245,122**	**281,724**	**331,838**	**395,918**	**472,504**	**555,614**	**642,935**	**734,530**

EBIT (UBS) by division (US$m)	06/24	06/25	06/26	06/27E	06/28E	06/29E	06/30E	06/31E
Others	109,433	128,528	155,236	184,921	218,291	253,812	289,102	325,758
Total	**109,433**	**128,528**	**155,236**	**184,921**	**218,291**	**253,812**	**289,102**	**325,758**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	25.6%
Forecast dividend yield	0.8%
Forecast stock return	26.4%
Market return assumption	9.8%
Forecast excess return	16.6%

Company Description

Founded in 1975, Microsoft is the world's largest software company, generating over $200bn in annual revenue in fiscal 2023. Operating in over 190 countries, the company is a market leader across numerous software categories, with core solutions including cloud computing infrastructure (Azure), productivity applications (Office and Office 365), operating systems (Windows), business applications (Dynamics), internet services (LinkedIn, Bing), database software (SQL Server), gaming (Xbox), devices (Surface), and other products and services addressing enterprise and consumer technology markets.

Valuation Method and Risk Statement

We value Microsoft on a relative P/E multiple on CY28 estimates. Key risks for Microsoft include the IT spending environment, the pace of decline in legacy businesses relative to growth in newer Cloud-centric businesses, the required capex investment needed to build Cloud datacenters, competitive pressure from Cloud-native leaders like Amazon and Google, and legal and regulatory risk given Microsoft's dominant position in PC operating systems and productivity applications. Microsoft operates in the technology industry which also sees rapid change and innovation, and the company's market opportunity could change rapidly if technology and demand preferences shift in an unanticipated direction.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Microsoft Corp.

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	N/A
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	5
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS Securities LLC: Jack Fyda, Karl Keirstead, Taylor McGinnis.

Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Microsoft Corp.[13,4,16,28,7,8,6a,6b,6c]	MSFT.O	Buy	US$543.45	13 Oct 2026

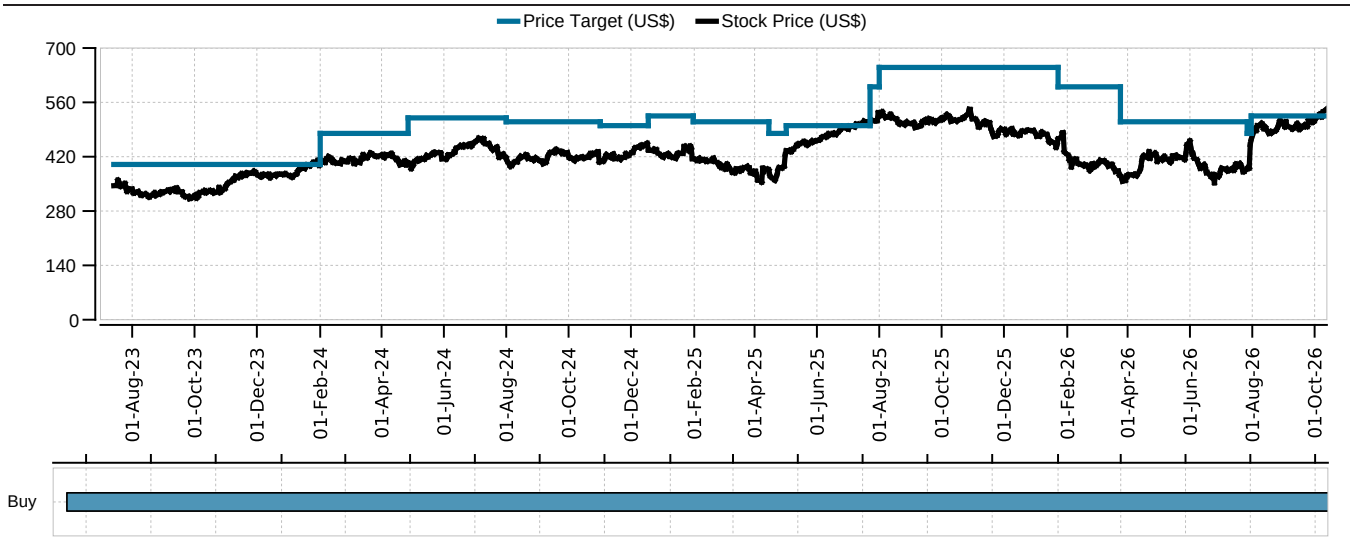
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Issuer Name	Credit Rating	Outlook
OpenAI Foundation	No Rating	No Rating

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Microsoft Corp. (US$)



Date	Stock Price (US$)	Price Target (US$)	Rating
2023-07-13	342.66	400.00	Buy
2024-01-31	397.58	480.00	Buy
2024-04-26	406.32	520.00	Buy
2024-07-31	418.35	510.00	Buy
2024-10-31	406.35	500.00	Buy
2024-12-17	454.46	525.00	Buy

Date	Stock Price (US$)	Price Target (US$)	Rating
2025-01-30	414.99	510.00	Buy
2025-04-14	387.81	480.00	Buy
2025-05-01	425.40	500.00	Buy
2025-07-22	505.27	600.00	Buy
2025-07-31	533.50	650.00	Buy
2026-01-22	451.14	600.00	Buy
2026-03-24	372.74	510.00	Buy
2026-07-26	381.70	480.00	Buy
2026-07-30	451.10	525.00	Buy

Source: UBS Global Research; LSEG Eikon as of 13-Oct-2026. All prices as of local market close. Ratings as of date shown.

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